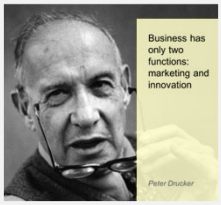
EAS5450 Quiz
8:35 – 8:45am
Canvas Quizzes

Marketing Strategy

Creating, Capturing and Sustaining Value



EAS5450 Class #9

1

Marketing Strategy Agenda

1. Positioning =
   - Target Market Segmentation +
   - Product Differentiation
2. Marketing Activity Plan (4 P's)
   - Product
   - Place
   - Price
   - Promotion

The Plan to achieve the Positioning!

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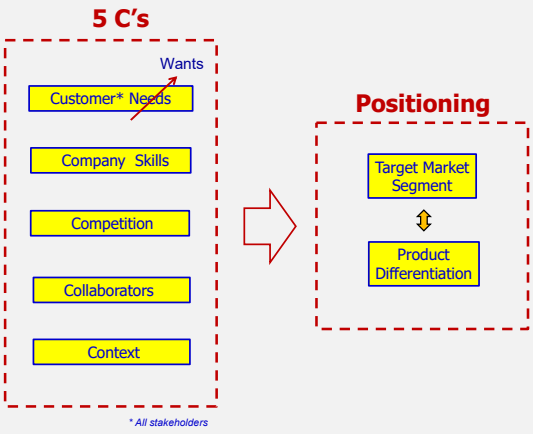

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Recall:

Market Segmentation Criteria

- Potential customers
- Having a common set of needs or wants
- Identifiable
- Accessible
- Significant potential
- Who reference each other when deciding

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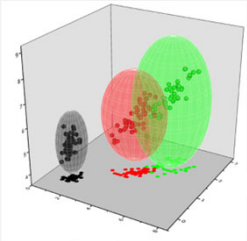
Along what meaningful axes can we divide up customers?



5

Critical to Understand

- Decision Making Process (DMP)
  - Magnitude of the problem
  - Information sources
  - Importance of various attributes
  - Criteria used to evaluate alternatives
- Decision Making Unit (DMU)
  - Who is involved? What are their roles?
    - Initiator(s)
    - Decider(s)
    - Influencer(s)
    - Purchaser(s)
    - User(s)

6

Customer scenarios are a great way to visualize a segment…

User
- Mary is a recruiter at Google

Current State
- She spends her days searching job boards like Monster and Craigslist and sifting through unsolicited resumes to find the rare engineer who is a fit for the company

Day in the Life
- On LinkedIn though she can search through millions of possible candidates whether on the job market or not, validating their skills through connections to other people she trusts

7

Differentiate on features that matter to the target customer

8

Positioning Statement

1. _____ is
   (product name)

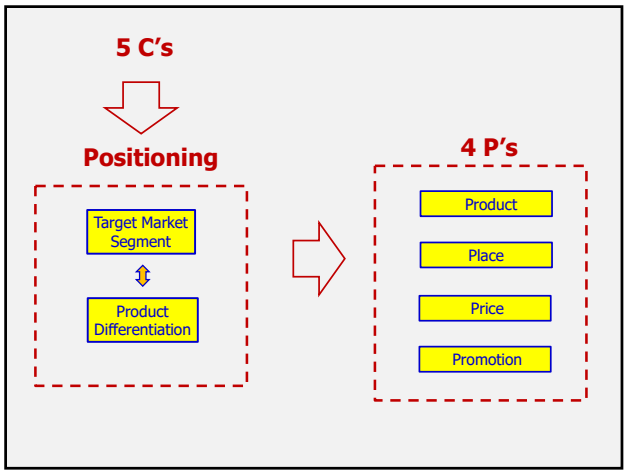
2. _____ for 3. _____
   (single most important claim) *(target customer segment)*

among all 4. _____
(competitive frame)

because 5. _____.
(single most important support)

1. Plant your stake
2. Lead with your value proposition
3. Define your target customer
4. Define your competitive set
5. Bring it home with your competitive differentiation.

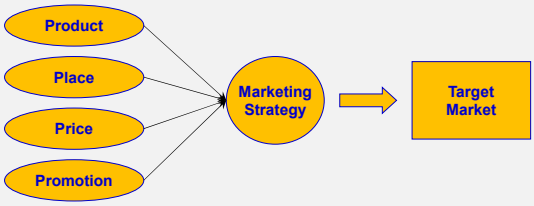
9



10

Product, Place, Price and Promotion

Components of "marketing mix"
- Combination of demand-influencing tactics
- Choose with respect to target market
- "Positions" the product: differentiation + segmentation
- Strategy allocates resources ($) to best mix



11

1. Product

- Deliver a "whole product"
- Determine demand drivers (preferences) of all stakeholders:
  - Concept testing
  - Conjoint analysis
  - Alpha testing
  - Beta testing
  - Feedback
- Variables:
  - Features
  - Quality
  - Packaging
  - Brand identification
  - Services
  - Guarantees
  - Assortment
  - Bundling

12

Recall...

The gains promised by a new product must far outweigh the perceived losses from switching away from a familiar solution.

Potential customers over-value losses.

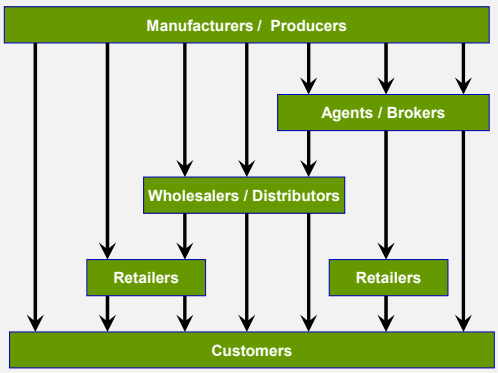
13

2. Place

"Channel" doesn't begin with a "P"

- Wholesalers, distributors, retailers who make the product available.
- Variables:
  - Types of channels and/or middlemen
  - Store and/or distributor location
  - Storage
  - Transportation and logistics
  - Service levels and/or systems integrators

14



15

Steps in Channel Selection

1. **Identify Channel Alternatives**
   Criteria: Intensity of distribution
   Access to customers
   Prevailing distribution practice
   Needed functions
2. **Select Channel Type**
   Criteria: Revenue-cost analysis
   Time to develop channel
   Control
   Legal/regulatory constraints
   Channel availability
3. **Select Channel Participants**
   Criteria: Market coverage
   Capability and functions provided
   Reputation
   Intermediary's needs
   Availability
   Strategic alliance benefits

16

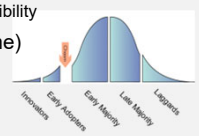
3. Price

EAS 545

17

Pricing Strategy

- Objectives
  - Increase sales, build traffic, establish market position
  - Increase profits
    - Short-term
    - Long-term
  - Discourage entrants, injure marginal competitors
  - Stabilize market prices
  - Recover product development costs
  - Enhance image
  - Enhance reputation of fairness to channels / customers
- Strategies
  - Price high: skimming
  - Price low: penetration
  - Meet the competition: going rate
- Variables
  - List price
  - Credit terms
  - Discounts
  - Allowances
  - Flexibility
- = f (time)



18

"Managers would calculate how much it cost to make and deliver each product and add a flat percentage on top."

"They had to start determining prices by what a customer is willing to pay rather than what a product costs to make."

THE WALL STREET JOURNAL.

CHANGING THE FORMULA

Seeking Perfect Prices, CEO Tears Up the Rules

Parker's Washkewicz Weighs Market Power Of 800,000 Parts

By TIMOTHY AEPPEL

CLEVELAND—In early 2001, shortly after Donald Washkewicz took over as chief executive of Parker Hannifin Corp., he came to an unnerving conclusion. The big industrial parts maker was in a pricing rut.

For as long as anyone at the 80-year-old company could recall, Parker used a cost-plus pricing system for its catalog of an unwieldy 800,000 parts. Some how resistant seals for jet engines to steel valves that hoist buckets on cherry pickers. Company managers would determine how much it cost to make and deliver each product and add a flat percentage on top, usually aiming for a profit margin of 10%. It was a simple method because it was straightforward and gave them broad authority to negotiate deals.

But Mr. Washkewicz thought that Parker, which had sales of $8.4 billion in fiscal year, had stuck itself in a profit-margin rut. No matter how much a product improved, the company often ended up charging the same price as it had for a new standard item. And if the company found a way to make a product less expensive, it would simply cut the product's price in half.

"I was actually losing sleep," recalls Mr. Washkewicz, a 56-year-old Cleveland native who started with the company in 1966 at age 19 and rose through its ranks as an engineer.

While touring the company's 225 facilities around the world, he had an epiphany: Parker had to stop thinking like a widget maker and start thinking like a retailer, determining prices by what customers are willing to pay rather than what a product costs to make. Such "strategic" pricing schemes are commonplace in many industries, airlines know they can charge more for a seat to Florida in January than in August. Sports teams raise ticket prices if they're playing a hot team. But it wasn't clear what it wouldn't Parker do the same. Mr. Washkewicz recommended.

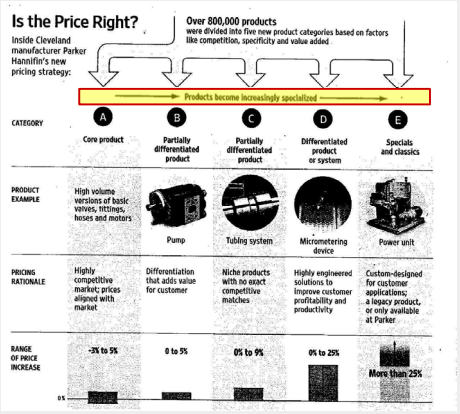
Donald Washkewicz

Since then, the company says its new pricing approach boosted operating income by $200 million since 2002. That helped Parker's return on invested capital rise from 7% in 2002 to 21% in 2006, putting it on the verge of moving into the top 25% of Mr. Washkewicz's list comparing Parker with other industrial companies.

From the end of 2006 to present, *Please turn to page A10*

Wall Street Journal, Feb 27, 2007

19



Wall Street Journal, Feb 27, 2007

20

Parker

"The company's new strategic pricing approach boosted operating income by $200 million since 2002."

"Return on invested capital has risen from 7% in 2002 to 21% in 2006."

"The company's shares have risen nearly 88% compared to a 25% gain in the S&P 500."

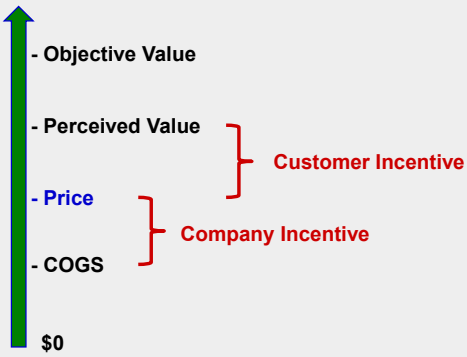
21

Top Down, not Bottom Up!

Value-based not Cost-based

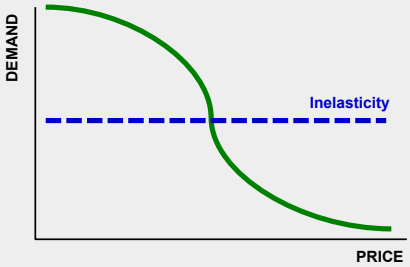
- **Price without regard to cost.**
- **Price = f (positioning):**
  - Product differentiation
  - Target market segment
- **Test the price point:**
  - Concept testing.
  - Conjoint analysis.

22



23

Price Elasticity



24

Determining Perceived Value

While it is important to understand the objective value a new product delivers, it is equally important to understand the value of that product as perceived by potential consumers. One common way to assess perceived value relies on survey methods. The most common of these is a direct-response survey, in which the respondent is typically asked a question such as:

- What is the likelihood you would buy this product at a price of $25?
- ~~At what price would you definitely buy this product?~~
- ~~How much would you be willing to pay for this product?~~
- How much of this product would you buy at a price of 99¢?
- ~~At which price difference would you switch from product A to product B?~~

Consider a major camera maker that used this method to set the price for a new camera. In a survey, a set of respondents were provided a description of the new camera and were asked to indicate their purchase intention on a seven-point scale, from "Definitely Not Buy" to "Definitely Would Buy." One-third of the respondents were told the camera would cost $150, one-third were told it would cost $80, and one-third were told it would cost $40. Results of the survey were:

Table B

	Stated Price of Camera		
	$150	$80	$40
1. Definitely Would Buy	4%	5%	15%
2.	0%	0%	2%
3. Probably Would Buy	7%	14%	30%
4.	1%	2%	4%
5. Probably Not Buy	22%	34%	18%
6.	2%	2%	1%
7. Definitely Not Buy	65%	54%	30%

25

Pricing

1. 8 Steps to Better Pricing
2. Pricing Objectives
3. 3 Pricing Strategies
4. If the dogs don't eat the dog food…
5. Pricing Caution

26

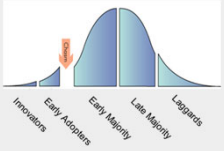
8 Steps to Better Pricing…

27

#1. How do customers value our product?

- Value perception:
  - Premium?
  - Commodity?

- Time dependent?



28

#2. Does value vary across segments?

- High value for "ideal" customer:
  - Different uses by different customers.
  - Segment and price accordingly.
- Customizing price without differentiation:
  - No communication between segments.
  - No product re-sales between segments

29

#3. Assess Customers' Price Sensitivity (Elasticity)

- Greater elasticity means <u>less pricing latitude</u>.
- Factors:
  - Price is large % of buyer's cost.
  - Buyer is the end user.
  - Third party does not bear the cost.
  - Price related to perception of quality (or rip-off).
  - Buyer can shop around easily.
  - Buyer is not under time pressure.
  - Buyer has insignificant switching costs.
  - Product is undifferentiated from competitors.
  - Product is not branded – little customer loyalty.

30

#4. Optimize Pricing Structure

- The Gillette *Recurring Revenue* Model…

$12.99

$39.97

31

#5. Anticipate Competitor's Reaction

- Advantage of cost leadership.
- Impact on overall industry profitability.

32

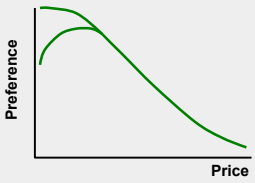
#6. Know the real price

- Price net of:
  - Early payment discounts.
  - Quantity discounts.
  - Rebates.
  - Negotiated discounts.
  - Other pricing terms and conditions.

33

#7. Assess customers' emotional response

- Implied quality (or lack thereof).
- Effect on company image.
- Advertising influence.



34

FinePrint Software

Jonathan Weiner, CEO

"We initially priced our product too low. This created a credibility issue."

"Sales increased when price increased from $29.95 to $39.95"

"It's a perception issue. If your product's better, you must charge more than competing products."

35

Red Bull

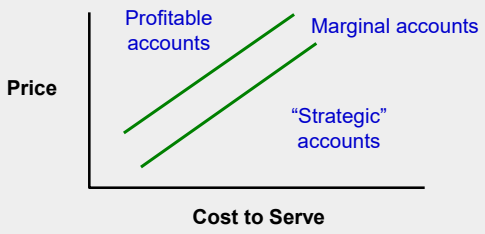
"A product positioning master stroke…

… sell Red Bull as an ultra-premium drink in a category all its own. At about $2 a can, it was far-and-away the most expensive carbonated drink on the shelves. "If we'd only had a 15% price premium, we'd merely be a premium brand among soft drinks, and not a different category altogether."

Dietrich Mateschitz, founder of Red Bull
Bloomberg Businessweek
May 23-29, 2011

36

#8. Do revenues justify the cost to serve?



37

Know your objectives

- **Objectives**
  - Increase sales, build traffic, establish market position
  - Increase profits, margins, return on investment
    - Short-term
    - Long-term
  - Discourage entrants, injure marginal competitors
  - Stabilize market prices
  - Recover product development costs
  - Enhance company/product image
  - Enhance reputation of fairness to channels / customers
- **Variables**
  - List price
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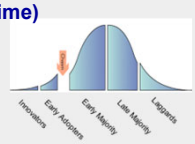


38

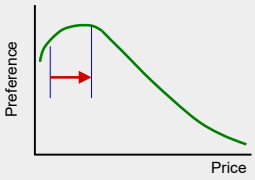
3 Pricing Strategies

- **Price high:**
  - Skim the early market.
  - Differentiation advantage.
- **Price low:**
  - Penetrate the market.
  - Cost leadership advantage.
- **Meet the competition: going rate.**

39

If the dogs don't eat the dog food…

- **Lower the price.**
- **Raise the price.**
- **Reduce costs.**
- **Reposition:**
  - Differentiate the product
  - Re-target the segment
- **Drop it.**



40

Pricing caution

- Danger of charging what the market will bear:
  - Co-dependency of buyers & sellers.
  - Long term loyalty.
- Danger of squeezing the channel:
  - Especially if "push" marketing.
- Anti-competitive pricing:
  - Robinson-Putman Act of 1936.
  - Regulates intent to injure in interstate commerce.

41

Anticompetitive Pricing….

In contrast, questions of legality arise whenever pricing actions (including price customization) are seen as reducing competition. Pricing actions with potentially anticompetitive effects include:

- Predatory pricing—that is, pricing low for a time to drive a competitor from the marketplace
- Price fixing—setting prices in collusion with competitors
- Price maintenance—requiring that distributors or retailers sell only at a specified price. A firm *may* suggest reseller prices (as in the case of a manufacturer's suggested retail price) but *may not* require that such prices be maintained.

A company can be charged by the government and/or sued by customers or competitors for anti-competitive acts. The situation is not easy to navigate, for example, one observer noted, ". . . when pricing tactics are illegal is not always clear. The laws themselves are vague."[6] Therefore, pricing practices should be subjected to both an ethical review and an informed legal review within the company before being implemented.

Principles of Pricing, Harvard Business School Press, 2009

Pursuant to U.S. Supreme Court decision in *Leegin Creative Leather Products, Inc. v. PSKS, Inc.*, 551 U.S. 877 (2007), resale price maintenance is no longer unlawful including explicit contracts between a manufacturer and dealer specifying a resale price. Conventional wisdom today is that most instances of it are lawful.

42

4. Promotion

- Variables in the "Promotion Mix"
  - Sales promotion (samples, gifts, coupons)
  - Advertising
  - Publicity (no explicit cost for media)
  - Personal selling

43

Planning Communications…

The 6 M's Model

1. Market
   - … to whom?
2. Mission
   - … objective?
3. Message
   - … specifics?
4. Media
   - … vehicle?
5. Money
   - … cost vs budget?
6. Measurement
   - … assessment?

44

Promotion Tools

- Sales Promotion
  - Games, contests
  - Free samples
  - Trade shows
  - Coupons, trading stamps
  - Signs, displays
  - Price promotion
- Advertising
  - Print
  - Radio, TV
  - Internet
  - Billboards
  - Direct mail
  - Packaging logos
- Publicity
  - News stories
    - Print
    - Broadcast
  - Editorials
  - Speeches
  - Info-mercials
- Personal Selling
  - In-person presentations
  - Telemarketing

45

When to Use Personal Selling

"Push" Marketing

- Complex products
- Major, infrequent purchase decisions
- Demonstration of features desirable
- Customer trial desirable
- Short, direct channel to customer
- Product/service training needed by channel intermediaries
- Channel intermediaries have little resources or experience
- Price negotiation expected
- Price margin high enough to support direct sales
- Advertising / promotion links ineffective with customer

46

Promotion Mix Decision Criteria

	Advertising	Sales Promotion	Publicity	Personal Selling
Cost per audience member	Low	Low	Very Low	Very High
Target focus	Poor to Good	Good	Moderate	Very Good
Complicated message delivery	Poor to Good	Poor	Poor to Good	Very Good
Dialogue (negotiation)	None	None	Low to Moderate	Very Good
Credibility	Low	Low	High	Moderate to High

47

The Reality

- … It's <u>You</u>
- Build and sell. Nothing else matters!
- Founder passion beats sales experience.

48

JAY CONRAD LEVINSON
GUERRILLA MARKETING
Product
Place
Price
Promotion
Marketing Strategy
Target Market
Strategy allocates resources
(time and $) to the best mix.

49